NYU SHANGHAI 上海纽约大学

International Political Economy (SOCS-SHU 222)

TRADE AND DEVELOPMENT I:

IMPORT SUBSTITUTION INDUSTRALIZATION

Instructor: JING QIAN

Logistics

- **AIIB Mini Case Study due Mar 3 for everyone.**
- **Field trip to the American Chamber of Commerce Shanghai**
  - Friday, March 13
  - Visit time: 4:00 – 5:30pm
  - Leave from campus ~ 3:15pm
  - Complete Google Form by noon, Wednesday March 4

Since 1915
AMCHAM
SHANGHAI

March 4 (Wed)

- **ROOM CHANGE: S308**
- **TIME CHANGE: 3:45 – 5:00 PM**
- Readings posted
- Attendance required

NYU SHANGHAI 上海纽约大学 | Social Science 世界史(社会科学)

NYU Shanghai International and Comparative Political Economy Speaker Series

Government-Business Relations in Contemporary China

Wednesday, March 4
Time: 3:45–5:00 PM
Location: S308 & Zoom (Hybrid), NYU Shanghai

Zeren Li
Assistant Professor
National University of Singapore
Lee Kuan Yew School of Public Policy

Introduction

This talk examines the changing nature of government–business relations in China and the institutional channels linking the state and firms. While government–business ties are often associated with informal relationships such as corruption or personal connections, contemporary business-government relations in China increasingly operate through formal mechanisms, including state ownership, industrial policy financing, political incorporation of entrepreneurs, and revolving-door appointments. The talk highlights how both domestic and international forces shape these relationships. Industrial policy initiatives, regulatory campaigns, and anti-corruption efforts influence how the state engages with firms, while external pressures such as economic decoupling and technological competition encourage closer coordination between the state and strategically important industries.

Dr. Zeren Li is an Assistant Professor at the Lee Kuan Yew School of Public Policy, National University of Singapore (NUS). His research focuses on government–business relations, bureaucracy, governance, and authoritarian politics, with a particular emphasis on China. He received his PhD in Political Science from Duke University. Prior to Duke, he earned his bachelor's degree from Fudan University and completed his MPhil at the Hong Kong University of Science and Technology. Before joining NUS, he was a Postdoctoral Associate in the Leitner Program in Political Economy at the MacMillan Center at Yale University.

Host by Jing Qian,
Assistant Professor of Political Science,NYU Shanghai

For inquires, contact **jingqian@nyu.edu**

Register on Engage

March 11 (Wed)

- ROOM: N201
- Readings posted
- Attendance *optional***
- ***12:45 – 2:00 PM class as scheduled***

NYU SHANGHAI 上海纽约大学 | Social Science 世界史(社会科学)

NYU Shanghai International and Comparative Political Economy Speaker Series

China's Evolving Central-Local Relations

Wednesday, March 11
Time: 3:45–5:00 PM
Location: N201, NYU Shanghai

Jianzi He
Visiting Assistant Professor
Duke Kunshan University

Introduction

Is China governed in a centralized or decentralized way? Why does the architecture of the Party-state matter for economic development and governance outcomes? This mini-lecture examines the structure of China's contemporary multilevel governance system, traces its historical foundations, and discusses recent institutional adjustments.

Dr. Jianzi He is a Visiting Assistant Professor of Political Economy at Duke Kunshan University. He obtained his PhD in Political Science from the Ohio State University in 2021. Dr. He' research interests include political economy of development, local governance, and Chinese politics.

Host by Jing Qian,
Assistant Professor of Political Science,NYU Shanghai

For inquires, contact **jingqian@nyu.edu**

Register on Engage

March 16 (Mon)

- **ROOM CHANGE: N201**
- **TIME CHANGE: 3:45 – 5:00 PM**
- Readings posted
- Attendance required

NYU SHANGHAI 上海纽约大学 | Social Science 世界史(社会科学)

NYU Shanghai International and Comparative Political Economy Speaker Series

Politics of Multinational Firms Global Value Chains and Geopolitics

Monday, March 16
Time: 3:45–5:00 PM
Location: N201, NYU Shanghai

Sayumi Miyano
Associate Professor
Osaka Universitty
Osaka School of International Public Policy

Introduction

Multinational corporations are central actors in international political economy. Yet their interests do not always align with those of their home country, or other firms in their industry. How do multinationals form political preferences, and how do they act on them? This mini lecture explores recent debates in the political economy of multinational firms, covering topics such as preference formation along global value chains, corporate lobbying and political strategy, geopolitical risk and firm behavior, and participation in international standard-setting, drawing on recent data including survey evidence from Japanese firms.

Dr. Sayumi Miyano is an Associate Professor at Osaka School of International Public Policy at the University of Osaka. She specializes in the study of international political economy, with particular focus on politics of multinational firms.

Host by Jing Qian,
Assistant Professor of Political Science,NYU Shanghai

For inquires, contact **jingqian@nyu.edu**

Register on Engage

Trade and Development I:

Import Substitution Industrialization

READING ASSIGNMENT:

Oatley Chapter 6

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Part 1:
Interests & Institutions explanation for ISI

Interests & Coalitions

- Up through WWI, developing countries had liberal trade policies
- By late 1950s, developing countries turn protectionist
- 2 questions:
  - *Who were the winners from globalization?*
  - *Did they have political power?*
- Trade politics in developing countries dominated by urban-rural cleavage

Things Began to Change…

- **Latin America:**
  - Government rationing of goods and primary commodities in the United States and Europe
  - Falling commodity prices
- **India:** The global economic collapse of the 1930s forced India to become increasingly self-reliance.
- **Pacific Asia:** Decolonization (imperial Japan) & land reforms.
- **Africa:** Decolonization, independence

Who wins & Who loses?

Generally, developing countries are abundantly endowed with land and poorly endowed with capital…

Agriculture is the _____-_____ sector
EXPORT ORIENTED SECTOR

Manufacturing is the _____-_____ sector
IMPORT-COMPETING SECTOR

So, land-owners should be ___-free-trade
PRO-

Owners of capital should be ___-free-trade
ANTI-

Let's Go Back to the Factor Model

Rogowski, Ronald. 1987. Political Cleavages and Changing Exposure to Trade. *American Political Science Review* 81 (4):1121-1137. (suggested reading, Class 5)

3 factors: land-labor-capital

- Considers the land-labor ratio
- High land-labor ratio ➔ land-abundant, labor-scarce
- Low land-labor ratio ➔ labor-abundant, land-scarce
- Define "advanced" economies as capital-abundant

Figure 1. Four Main Types of Factor Endowments

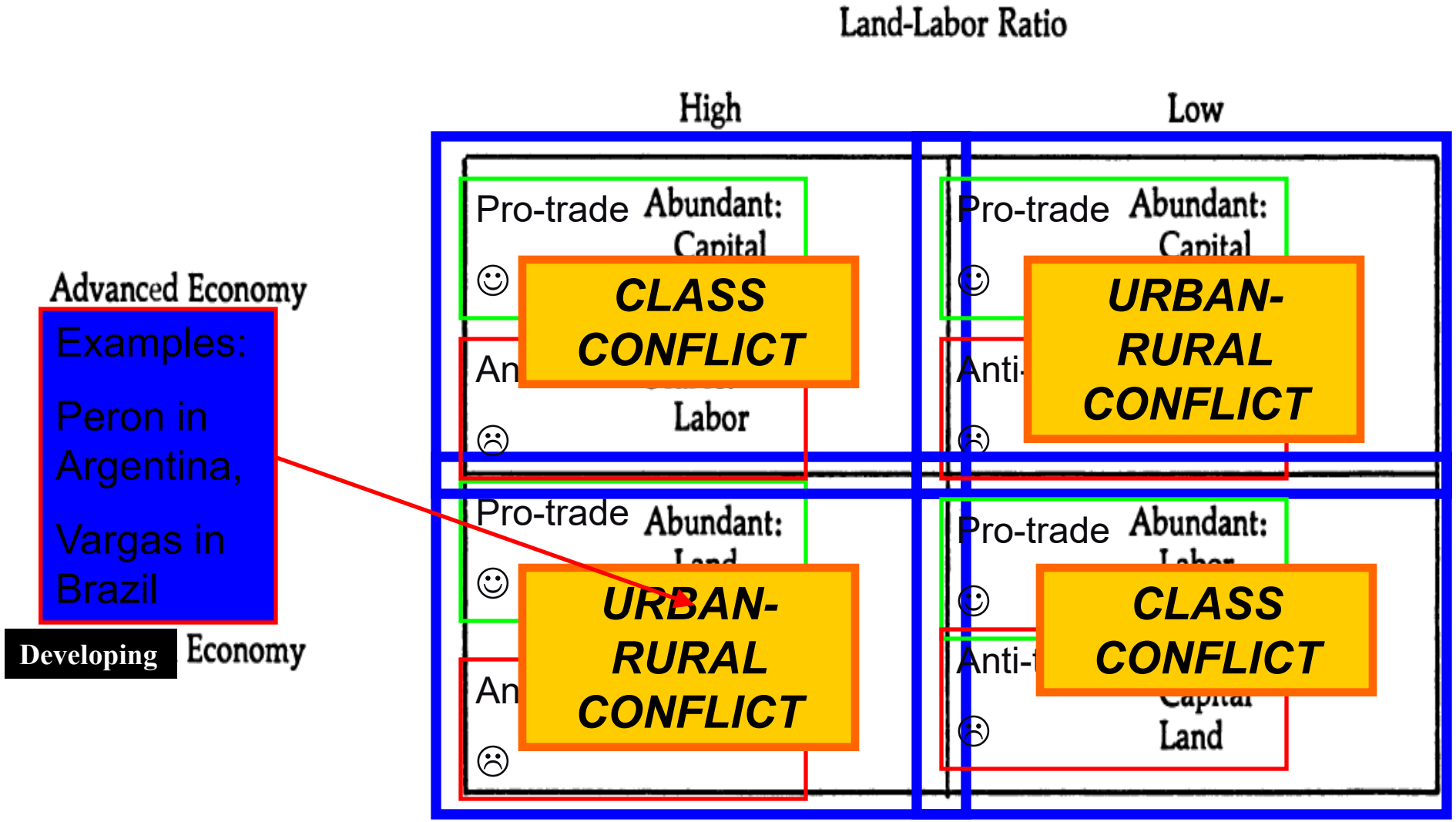


Figure 3. Predicted Effects of Declining Exposure to Trade

	Land-Labor Ratio: High	Land-Labor Ratio: Low
Advanced Economy	Class cleavage: Labor gains power. Land and capital lose. (U.S. New Deal)	Urban-rural cleavage: Land gains power. Labor and capital lose. (Western European Fascism)
Developing Economy	Urban-rural cleavage: Labor and capital gain power. Land loses. (South American Populism)	Class cleavage: Land and capital gain power. Labor loses. (Asian & Eastern European Fascism)

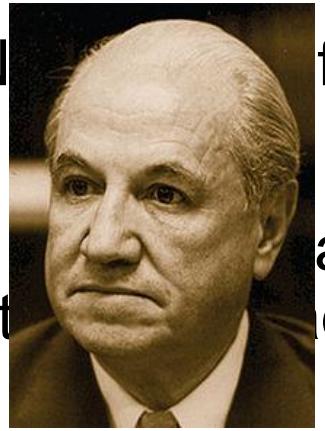
Part 2:
Intellectual justification for ISI

Structuralism

- What do states want? → Economic Development
- How to achieve that? → Manufacturing & Industrialization
- What does **structuralism** argue:
- The shift of resources from ***agriculture*** to ***manufacturing*** would not occur unless the state adopted appropriate industrial policy

International Anti-Trade Stance

- Haberler Report:
  - Von Haberler – Harvard economist (Austrian origin)
  - Reports a decline in the “terms of trade” for primary producers
  - From 1955: commodity prices fell by 5%, industrial prices rose by 6%



- 1 N ference on Trade and Development (U G
- (V r an that there was a systematic long-term (secular) d e t de. He left Harvard in 1971 for American Enterprise In
- ➔ Singer–Prebisch Theory (Intellectual justification for ISI):
  - Participation in GATT will make it harder for developing countries to industrialize

Terms of Trade

- Relates the price of a country's exports to the price of its imports
- "Improvement" in the terms of trade:
  - Price of exports is rising relative to the price of imports
- "Decline" in the terms of trade:
  - Price of exports is declining relative to the price of imports

Summarizing:
Why did governments adopt ISI?

1. ***Interests***
   - Losers from globalization gain power during the Great Depression
   - (Globalization dries up, so the “winners” lose substantial income)

2. ***Ideas***
   - Some economists (legitimized by the United Nations) argued against free trade

Part 3:
What is ISI?

Import Substitution Industrialization

- Industrialize by substituting domestically produced goods for manufactured items previously imported
- Typically called “ISI”
- 2 stages:
  - “Easy” ISI
  - Secondary ISI

Easy ISI

- Develop domestic manufacturing of simple consumer goods
- Soda, beer, apparel, shoes, furniture

What do you mean by "easy"? Easy how? How is it easy?

- Large domestic demand preexisting
- Requires "Low-Tech" machines
- Requires "low-skilled" labor

Asia & Latin America

- Both practiced “easy” ISI
- But then Asian countries switched to an EXPORT-ORIENTED STRATEGY:
  - Producing manufactured goods that can be sold in international markets
  - EXPORT rather than produce exclusively for the domestic market
- Latin America moved to “SECONDARY ISI”…

Secondary ISI

- Production of consumer durable goods, intermediate inputs, and the capital goods needed to produce consumer durables
- E.g., automobiles (Argentina, Brazil, Chile)
- Begin by importing auto pieces and assembling them domestically
- Gradually, increase the % of locally produced parts

Government Policies to Promote ISI

- Investment in activities the private sector would not produce:
  - Roads, transportation networks, electricity, telecommunications
  - Large-scale operations – steel plants, auto plants
- State-owned Enterprises (& mixed-owned)
  - Chemical, telecommunications, electricity, railways, metal fabrication
- Trade barriers (tariffs)
- **Tax policies:**
  - "Taxed" agricultural exports through "Marketing Boards"
  - Marketing Board – purchased crops from farmers at below-world market prices, then sell them on the world market at world market prices

Reforming the International Trade System

- Developing countries pressing for GATT reforms
- United Nations Conference on Trade and Development (March 1964)
  - Group of 77
- Generalized System of Preferences (GSP)
  - Manufactured exports from developing countries gained preferential access to advanced industrialized countries' markets
- New International Economic Order
  - Attempt to create an international trade system whose operation was subordinate to development needs of the world's poor countries
  - Inspired by the Organization of Petroleum Exporting Countries (OPEC) – used their control of oil to improve their terms of trade in the early 1970s

Thank You!

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Take-away

- Political motivation for ISI:
  - Losers from trade in Latin America (urban sector) gain political power
- Intellectual justification for ISI:
  - Declining terms of trade for primary products
- Asia & LA both practice “easy” ISI
- LA moves to Secondary ISI